CONDUIT INVESTMENTS (PVT) LTD
and
PHILEMON MACHANA
versus
XERISCAPE PROPERTIES (PVT) LTD

HIGH COURT OF ZIMBABWE
MUSITHU J
HARARE; 8 July 2025 & 16 February 2026

Opposed Court Application – Rescission of a default judgment

G R J Sithole, for the applicants
W Ncube, for the respondent

MUSITHU J:

1. This is an opposed application for rescission of a default judgment granted against the applicants by this court per DEMBURE J on 17 September 2024 under HCH 3101/23. The application was made in terms of Rule 27 of the High Court Rules, 2021. The applicants seek the following relief.

> "IT IS HEREBY ORDERED THAT:
> 1. The court application for rescission of default judgment of 17the September, 2024, given under Case No.HCH 3101/23 be and is hereby granted.
> 2. The default judgment granted by this Honourable Court per Hon Dembure J under the cover of Case No. HC 3101/23 on 17th September, 2024 be and is hereby set aside.
> 3. The Applicants be and are herby given leave to file their notice of appearance to defend within ten (10) days of granting of this order.
> 4. The Respondent to pay for costs of suit on an Attorney-client scale."

Background and applicants' case.

2. The applicants' founding affidavit was deposed to by one Philemon Machana in his capacity as the managing director of the first applicant and in his personal capacity as the second applicant. The applicants averred that they had no prior legal relationship with the respondent except for an alleged agreement for the cession of a debt with Thawe Capital (Pvt) Ltd. Sometime in June 2020, the first applicant entered into an 'agreement' (the principal agreement) for the sale and purchase of assets with an entity called Thawe Capital (Pvt) Ltd (Thawe Capital), in terms of which the first applicant acquired all rights, title and interest in the assets, both movable and immovable assets at Sadomba

Custom GOLD Milling Center, including the Custom Milling Plant registered as CPM No. 506 located at Norman Mine Chinhoyi.

3. On 26 September 2020, the applicants and Thawe Capital amended their rights and obligations under the agreement. At the time of entering into the said agreement, the *domicilium citandi et executandi* for the applicants was 7 Telford Road, Graniteside, Harare whilst that of Thawe Capital was 4 Gunhill, Harare. The applicants averred that the respondent was always aware of the applicants' address for service. In terms of the principal agreement, particularly clauses 3.2 and 3.4 the second applicant would only become a surety and co-principal debtor with the first applicant upon the fulfilment of certain conditions, which prerequisites were never fulfilled.

4. As such, the second applicant's involvement in the proceedings ought to have been limited and if there was any valid claim for Thawe Capital, it would be against the first applicant. The applicants averred that they never entered into an agreement with the respondent. The applicants also averred that they duly discharged their obligations under the principal agreement with Thawe Capital. The agreement was amended several times, with Thawe Capital ceding its rights to third parties such as Fitsoft (Pvt) Ltd, Grace B (Pvt) Ltd, TSA, and Global Village.

5. The applicants also averred that the first applicant fulfilled its obligations under the agreement, discharging its duties to Thawe Capital as per the numerous amendments agreed upon by the parties. Thus, the first did not owe Thawe Capital or any other party under the agreement. That explained why the security measures contemplated in clause 3.3 of the principal agreement, such as the registration of a surety mortgage bond, deed of hypothecation over the purchased mine assets and a notarial general covering bond over the movable assets of the mine, were never executed as there was no basis for such. The parties had fully discharged their duties and obligations under the agreement.

6. The second applicant was only to become a co-principal debtor when a deed of suretyship was executed and signed. This was not done as the process was overtaken by the subsequent settlement of the obligations by the first applicant. The applicants became aware of the default judgment under HCH 3101/24 on 30 October 2024 when the sheriff attended to the first applicant's business premises at no 7 Telford Graniteside, Harare to execute the judgment. At all material times, the respondent had always been aware of the

applicants' *domicilium executandi* based on the agreement between Thawe Capital and the first applicant from whence the respondent purported to derive rights.

7. The applicants averred that on 30 October 2024, the Sheriff unexpectedly attended to the first applicant's business premises at No. 7 Telford Graniteside, Harare to execute the said default judgment. The applicants averred that they were not aware of the default judgment until the said execution. The applicants also averred that they were surprised to find that the address used by the respondent for service of summons whose judgment was obtained in default, was different from the address ultimately used for purposes of instructing the sheriff to execute the first applicant's property.

8. The applicants further averred that they were not in wilful default as they were not aware of the proceedings which yielded the default judgment. The proceedings under HCH 3101/24 were never brought to their attention. The applicants averred that if they had been served with the said summons, they would have defended the matter as they believed that they were no longer indebted to the respondent. The applicants also denied conducting their business at Room 605-6 LAPF Centre, Corner J. Moyo/Chinhoyi Streets, Harare, which was the address at which the service of the summons was said to have been done.

9. The applicants averred that the address of service that was supplied to the sheriff by the respondent was a fraud. Their address for service was always known to the respondent, but the respondent directed the sheriff to serve the summons at a wrong address in order to obtain a default judgment. The applicants averred that it was apparent that the respondent knowingly, calculatedly, deliberately and fraudulently caused summons to be served at LAPF Centre to deceive not only the applicant but this Honourable court. The applicants never operated from Room 605-6 LAPF Centre, and neither did they ever supply that address as their business address. The default judgment was therefore procured by means of deceit and fraud. The applicants also averred that they did not know the respondent as they had only dealt with Thawe Capital and had fully discharged their obligations to Thawe Capital.

10. Regarding good cause shown, the applicants referred the court to the record of proceedings under HCH 3101/23. The applicants averred that according to the documents filed under HCH 3101/23, Thawe Capital ceded its rights to the respondent in terms of a cession agreement entered into by the parties sometime in September 2023.

According to the applicants, the cession agreement emanated from, and was based on what they called "another hoax agreement" titled Deed of Compromise. The applicants claimed that the Deed of Compromise was an invention by Thawe Capital which subsequently gave birth to the Cession Agreement between the respondent and Thawe Capital which purportedly bestowed non-existent rights on the respondent. At the time of consummation of the Cession Agreement, the applicants had honoured their obligations to Thawe Capital and were not indebted to Thawe Capital at all.

11. The applicants contended that the Deed of Compromise was a fiction and a fraudulent creation by Thawe Capital. They denied ever signing the said Deed of Compromise. At the time of the alleged signing of the Deed of Compromise on 14 May 2021, the first applicant was not indebted to Thawe Capital. The Deed of Compromise did not even depict the names of the representatives of Thawe Capital. The signatures on the Deed of Compromise were also markedly different from those of one moses Chundu, a director in Thawe Capital who signed the main agreement as well as the addendum to the principal agreement in September 2020.

12. The applicants averred that to further expose the fraud, the addendum to the main agreement signed on 26 September 2020 reflected an amount of US$ 533 870 a figure different from the alleged sum of US$ 601 000. It was not clear how the amount had suddenly increased. There was also no reference to the principal agreement.

13. Regarding the cession agreement between Thawe Capital and the respondent the applicants denied being part of it. According to the applicants, Thawe Capital and the respondent fraudulently created Room 605-6 LAPF Centre as the applicants' business address for service and falsely claimed that the applicants were indebted to Thawe Capital in the sum of US$ 601 000. The purported rights that were ceded to the respondent were all fraudulent and false and the respondent was aware that no such rights or obligations existed. That also explained the deliberate omission of the principal agreement which spelt out the terms and conditions and the addresses of Thawe Capital and the applicants.

14. The applicant insisted that the respondent deliberately supplied the wrong address to the sheriff knowingly having created same with Thawe Capital in terms of a fraudulent cession agreement. The applicants submitted that they should be given their day in court and they would seek the joinder of Thawe Capital to the proceedings so that they could

demonstrate that they discharged their obligations to Thawe Capital and that the deed of compromise and the cession agreement were fraudulent.

15. Further, no prejudice would be suffered by the respondent if rescission of judgment was granted.

Respondent's case

16. The respondent's opposing affidavit was deposed to by Clinton Takudzwa Rwere, in his capacity as a director in the company. He averred that as a matter of law, when a cedent ceded a debt there was no requirement that the cedent should acquire the prior permission of a debtor. The belief that Thawe Capital ought to have been cited was therefore misplaced. The respondent averred that the transaction that the applicant referred to was superseded by the deed of compromise. The respondent averred that its cause of action arose from the deed of compromise and not from any transactions that preceded it. Any references to the agreements that preceded the deed of compromise was irrelevant.

17. The respondent averred that an inspection of the deed of compromise would reveal that the parties never agreed to any *domicilium citandi* in their agreement. Further, when the respondent bought the debt, it did not have the applicants' preferred address and simply served process on both applicants at the registered office of the first applicant, being and105-106 LAPF Center, which was also the second applicant's place of work.

18. The respondent denied that the second applicant's suretyship and co-principal debtorship was conditional as suggested. The respondent's claim arose out of the deed of compromise that was duly signed by both the first respondent and the second applicant as the principal debtor, suretyship and co-principal debtor. The respondent averred that it was clear from the deed of compromise that the second applicant signed the deed twice and in two different capacities. First, as a representative of the first applicant and secondly, in his capacity as surety and co-principal debtor.

19. The respondent averred that it was common cause that the applicants never entered into an agreement with the respondent, rather, parties agreed to discharge applicants' indebtedness to Thawe Capital through the deed of compromise which created a new debt that the applicants had to discharge in accordance with its terms.

20. The respondent averred that the sheriff attempted to execute at the registered office as evidenced by the sheriff's return of service annexed to the application. The respondent

was later advised by an unnamed person who knew the second applicant that they were now operating at no. 7 Telford Road, Graniteside, Harare. The respondent thereafter instructed the sheriff to levy execution at the aforesaid address.

21. The respondent averred that the applicants were trying to mislead the court because service of process at a registered address of a company could not be characterised as machination. The applicants were in wilful default because process was served at the first applicant's registered address. The respondent averred that the applicants had no prospects of success in the main matter.

22. The respondent denied that the deed of compromise was a creation of Thawe Capital but a valid and enforceable agreement that was signed by Thawe Capital and the applicants in the presence of witnesses. The respondent averred that there were emails and WhatsApp messages from the second applicant wherein he was begging Thawe Capital not to cancel the deed of compromise. It was further averred that the applicants' level of dishonesty was wasteful of the court's resources and the respondent's time and money, which deserved censure by the court. The deed of compromise was not a forgery.

23. The respondent averred that the applicants had no prospects of success in the main matter to the extent that they pretended that they never signed the deed of compromise. Evidence placed before the court confirmed that the applicants acknowledged the existence of the deed of compromise and even pleaded for more time to settle the debt from alternative sources. The second applicant signed the deed of compromise twice as a representative of the first applicant and in his personal capacity as surety and co-principal debtor. As such the applicants were bound by the deed of compromise.

24. The applicants were accused of engaging in cheap deceitfulness and unworthy conduct thereby causing the respondent to suffer unnecessary costs. The court was asked to register its disproval of such shameless dishonesty by dismissing the application with costs on the legal practitioner and client scale.

The Submissions

25. *Mr Sithole* for the applicants submitted that the current application was one for rescission of a default judgment in terms of r 27 of the High Court rules. He submitted that for an application of this nature to succeed, the applicant was required to show good cause. Counsel submitted that the applicants were not in wilful default, because summons was served at the first applicant's former registered office. Counsel submitted that service

was done notwithstanding that the applicants' address for service captured in the agreement between the first applicant and Thawe Capital, was stated as No. 7 Telford Road, Graniteside, Harare.

26. Counsel further submitted that the return of service of the summons showed that service was effected at the LAPF Centre. The explanation by the respondent that the address where service was done was the one that appeared on the C.R. 5 did not hold as it was clear from the C.R. 5 that the LAPF Centre was the first applicant's former address with effect from 1 June 2023. It was further submitted that the respondent was always aware that the applicants' current address was 7 Telford Road. The applicants were therefore not aware of the summons. Counsel submitted that when the respondent sought to execute the judgment, they proceeded to the correct address as stated in the agreement of sale. The respondent had therefore effectively snatched judgment.

27. As regards prospects of success, *Mr Sithole* submitted that the second applicant was said to have bound himself as surety and co-principal debtor, yet in the agreement with Thawe Capital there no express mention of the second applicant as having bound himself as a co-principal debtor. Counsel also submitted that even if it was alleged that the second applicant bound himself as a surety and co-principal debtor, the second applicant denied ever entering into a compromise agreement. The second applicant denied ever signing the document. The mere fact that the respondent alleged in its affidavit that the second applicant signed the said document was not conclusive of that fact. In fact, that allegation created a factual dispute, to the extent that it was disputed by the applicants.

28. *Mr Sithole* also submitted that it would be ideal that the default judgment be rescinded and the matter be heard on the merits. For one to be bound as surety, the threshold to be discharged was that there must be a distinct agreement involving the creditor and the second applicant. The applicants denied owing the applicant anything, having settled all outstanding amounts by December 2021. The second applicant completely disowned any communication in which he was alleged to have admitted owing the applicant under the compromise agreement.

29. In response, Mr *Ncube*, for the respondent submitted that the position of the was that the court could only grant rescission if it was satisfied that there was good and sufficient cause to do so. In doing so, the court was guided by the following factors: i) whether there was reasonable explanation for the default, ii) *bona fides* in the application for

rescission and iii) prospects of success in the main matter. In assessing whether there was good cause, the court was not just confined the wilfulness of the default. The court was also required to consider whether was good and valid service of the process. Mr *Ncube* argued that in *casu*, there was indeed valid service of process.

30. Mr *Ncube* also submitted that the applicants presented the case as if process was served after their change of address. The record however showed that up until 1 June 2023, the applicants' business address remained 605-6 LAPF Centre, Cnr Jason Moyo/ Chinhoyi Street. The sheriff's return of service showed that action was taken on 15 June 2023. Service was done at the first applicant's place of business, which also happened to be the second applicant's workplace.

31. It was also submitted the respondent's rights emanated from the deed of cession, which did not give *domicilium*. The deed of cession emanated from the deed of compromise, which itself did not state any *domicilium*. The parties domicilium was in the original agreement which the respondent was not privy to.

32. As regards the existence of a *bona fide* defence to the claim, Mr *Ncube* submitted that the onus was on the applicants to prove that its proposed defence was arguable. Although the applicants claimed that the debt was fully paid before the alleged cession, nothing had been placed before the court to prove the payment. The applicants had therefore failed to demonstrate that they had a *bona fide* defence to the claim.

The Analysis

33. Rule 27 of the rules, under which the present application was launched, provides as follows.

> "27(1) A party whom judgment has been given in default, whether under these rules or under any other law may make a court application not later than one month after he has had knowledge of the judgment to be set aside, and thereafter the rules of court relating to the filing of opposing heads of argument and set down of opposed matters, if opposed shall apply. (2) If the court is satisfied on an application in terms of subrule (1) that there is good and sufficient cause to do so the court may set aside the judgment concerned and give leave to the defendant to defend or to the plaintiff to prosecute the action on such terms as to costs and otherwise as the court considers just." (*My emphasis)*

34. In *Stockil* v *Griffiths* 1992 (1) ZLR 172(S), GUBBAY CJ as he then was aptly explained what constitutes good and sufficient cause as follows: -

> "The factors which a court will take into account in determining whether an applicant for rescission has discharged the onus of proving "good and sufficient cause", as required to be shown by Rule 63 of the High Court of Zimbabwe Rules 1971, are well established. They have been discussed and applied in many decided cases in this country. See for

> instance, *Barclays Bank of Zimbabwe Ltd v CC International (Pvt) Ltd* S-16-86(not reported); *Roland and Another v McDonnell* 1986 (2) ZLR 216(S) at 226E-H; *Songore v Olivine Industries (Pvt) Ltd* 1988(2) ZLR210(S) at 211C-F. They are: (i) the reasonableness of the applicant's explanation for the default ;(ii) the bona fides of the application to rescind the judgement; and (iii) the bona fides of the defence on the merits of the case which carries some prospect of success. These factors must be considered not only individually but in conjunction with one another and with the application as a whole."

The reasonableness of the applicants' explanation for the default and the *bona fides* of the application to rescind the judgment

35. In the founding affidavit, the applicants averred that they were not in wilful default as they were not aware of the proceedings under HC 3101/23 that led to the default judgment. They averred that they only became aware of the said judgment on the day of execution and discovered that the address that the respondent used for service of the summons was an incorrect address. *Mr Ncube* for the respondent submitted that service was done at the first applicant's business address, which also happened to be the second applicant's work address.

36. I found the explanation by the applicants reasonable. I say so for the following reasons. Service of the initial summons and declaration was done on 15 May 2023 at the LAPF address. The sheriff commented as follows on his return of service:

> "Plaintiff's Summons and Declaration for 1st defendant served by affixing to outer principal door at the address of service after unsuccessful diligent search @15:42 hrs. Doors were locked at the time of service."

37. Although the manner of service of process by affixing on the outer principal door constitutes proper service of process, it does not always follow that the court will accept it as effective service in all circumstances. Each case must be considered on its own merits. The explanation given by the applicants demonstrates that the applicants may not have been operating from the said premises at the time that the service was attempted. The principal agreement between the first applicant and Thawe Capital was signed sometime in June 2020. Clause 7 of that agreement cited the first applicant's business address as No. 7 Telford Rd Graniteside, Harare. This was some three years before the attempted service of summons at the LAPF address. Further, the record shows that when the respondent attempted to execute on the applicants' property, it directed the Sheriff to this same No. 7 Telford Rd in Graniteside, Harare. This is the same address that the respondent claimed to have been previously unknown to it.

38. The inconsistencies in the respondents' version therefore added credence to the applicants' contention that the respondent was aware of the applicants correct business address but conveniently chose to serve process at the LAPF centre in order to secure a default judgment. Commenting on why the respondent directed the sheriff to the Graniteside for purposes of execution of the judgment, *Mr Ncube* submitted that they were advised by an unnamed person that the applicants had moved to another address. I found that explanation to be improbable in the absence of any evidence to back that assertion.

39. In the circumstances, the court found that the explanation for the default is reasonable and that the applicants were not in wilful default. The manner of service of the process materially contributed to the applicants' failure to enter appearance to defend.

The *bona fides* of the defence on the merits of the case which carries some prospects of success.

40. The respondent's claim is premised on the deed of compromise and the subsequent cession agreement. The applicants, however, disputed the validity of the deed of compromise. The applicants denied ever entering into a deed of compromise and averred that they had issues with it. The issues raised by the applicants regarding the authenticity of the deed of compromise call for further interrogation by the court. The contention that the second applicant never validly bound himself as surety and co-principal debtor creates material disputes of fact that the court cannot, at this stage, resolve without hearing *viva voce* evidence. The issues raised by the applicants are substantial and clearly call for determination through *viva voce* evidence.

41. Further, this court is not persuaded by the submission that the current application was motivated by a dilatory intent. The record revealed that the applicants promptly approached the court upon becoming aware of the default judgment. What the applicants merely seek is that the court reopens the main matter and have it ventilated on the merits.

42. The applicants denied the authenticity of the deed of compromise and denied ever owing the respondent. The applicants challenged the validity of the documents underpinning the respondent's claim in HC 3101/23. The second applicant denied the authenticity of the communication that was attributed to him. The applicants also insisted that they had long discharged their liability to Thawe Capital before the respondent came into picture.

There is just a lot at stake here. The parties respective accounts of events must be further interrogated in a trial court where the court has the benefit of hearing and testing the credibility of oral testimony before reaching a determination.

43. One of the revered principles of our jurisprudence is that there must be finality to litigation. Courts must be chary about resolving disputes in a piecemeal fashion. The setting aside of the default judgment will allow for the resolution of the factual contestations definitively. It is in view of the above reasons that the court determines that the applicants demonstrated good and sufficient cause for the granting of the order sought.

Costs

44. It is trite that the successful party is awarded costs. The circumstances of this matter however, reveal a complex transactional relationship between the parties that deserves further interrogation by the court. The granting of the relief sought by the applicants opens up the case for further legal confrontation. It is only proper that the question of costs be deferred for resolution with the main matter.

Resultantly, it is ordered that:

1. The court application for rescission of default judgment of 17 September 2024, granted under case number HCH 3101/23 is hereby granted.
2. The default judgment granted by this Honourable Court per Honourable DEMBURE J under HCH 3101/23 on 17 September 2024 is hereby set aside.
3. The applicants are hereby granted leave to file their notice of appearance to defend in HCH 3101/23 within ten (10) days of granting of this order.
4. Costs shall be in the cause.

MUSITHU J……

Rubaya and Chatambudza, legal practitioners for the applicants
Muzondo and Chinhema, legal practitioners for the respondent